

Canada Bread Company, Limited

Interim Report to Shareholders
For the Third Quarter Ended
September 30, 2012

Canada Bread Company, Limited
Management's Discussion and Analysis

For the third quarter ended September 30, 2012

October 30, 2012

FINANCIAL OVERVIEW

Canada Bread Company, Limited ("the Company") sales for the third quarter declined 3.8% to $401.5 million, compared to $417.2 million last year. After adjusting for the closure of a bakery in the U.K. and currency translation on sales in the U.S. and U.K., sales decreased 2.3%. This decrease was primarily related to lower volumes in the fresh bread business. Sales for the first nine months declined 1.6% to $1,176.6 million from $1,195.2 million last year. After adjusting for the sale of the Company's fresh sandwich product line in February 2011, the closure of a bakery in the U.K., and currency translation on sales in the U.S. and U.K., sales were consistent with last year as higher pricing and an improved sales mix were offset by volume declines, largely attributable to the fresh bread business.

Adjusted Operating Earnings[(1)] for the third quarter increased 7.8% to $34.2 million compared to $31.8 million last year, driven by higher earnings in the fresh bread business and the North American frozen bakery operations. For the first nine months, Adjusted Operating Earnings of $80.4 million were 3.8% lower than $83.6 million last year, as volume declines in the Fresh Bakery segment were partly offset by earnings improvement in the Frozen Bakery segment.

Net earnings in the quarter were $24.2 million ($0.95 basic earnings per share) compared to $30.3 million ($1.19 basic earnings per share) last year and included $0.2 million pre-tax restructuring and other related costs (2011: $1.6 million). Net earnings in the third quarter of 2011 also included $9.8 million ($0.38 per share) related to a tax adjustment associated with a prior acquisition. Year-to-date net earnings were $51.8 million ($2.04 basic earnings per share) compared to $44.2 million ($1.74 basic earnings per share) last year and included $7.3 million pre-tax restructuring and other related costs (2011: $34.2 million). Year-to-date net earnings of 2011 also included $12.2 million ($0.48 per share) related to tax adjustments.

Adjusted Earnings per Share[(2)] for the third quarter were $0.96 compared to $1.24 last year. Adjusted Earnings per Share in the third quarter of 2011 included a tax adjustment of $0.38. Adjusted Earnings per Share for the first nine months were $2.26 compared to $2.76 last year. Adjusted Earnings per Share for the first nine months of 2011 included tax adjustments of $0.48.

Restructuring and other related costs are excluded from the discussions of underlying earnings performance as these provisions do not reflect the continuing earnings performance of the business. Refer to the section entitled Non-IFRS Financial Measures at the end of this Management's Discussion and Analysis on page 10 for a description and reconciliation of all non-IFRS financial measures.

Notes:

(1) Adjusted Operating Earnings, a non-IFRS measure, is defined as earnings from operations before restructuring and other related costs and other income (expense).

(2) Adjusted Earnings per Share ("Adjusted EPS"), a non-IFRS measure, is defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax.

OPERATING REVIEW

The following table summarizes sales by business segment:

(Unaudited) *($ thousands)*	Third Quarter		Year-to-Date	
	2012	2011	**2012**	2011
Fresh Bakery	**$ 277,709**	$ 287,923	**$ 805,056**	$ 825,372
Frozen Bakery	**123,785**	129,248	**371,543**	369,804
Total Sales	**$ 401,494**	$ 417,171	**$ 1,176,599**	$ 1,195,176

Management's Discussion and Analysis

The following table summarizes Adjusted Operating Earnings by business segment:

(Unaudited) *($ thousands)*	Third Quarter		Year-to-Date	
	2012	2011	**2012**	2011
Fresh Bakery	**$ 28,765**	$ 29,198	**$ 66,540**	$ 80,394
Frozen Bakery	**5,469**	2,565	**13,884**	3,196
Adjusted Operating Earnings	**$ 34,234**	$ 31,763	**$ 80,424**	$ 83,590

Fresh Bakery

Includes fresh bakery products, including breads, rolls, bagels, sweet goods, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.

Fresh Bakery sales for the third quarter declined 3.5% to $277.7 million from $287.9 million last year, primarily due to lower volumes in the fresh bread business. During the first nine months of 2012, sales declined 2.5% to $805.1 million from $825.4 million last year. After adjusting for the sale of the Company's fresh sandwich product line in February 2011, sales decreased 1.9% as lower volumes in the fresh bread business were partly offset by price increases implemented during 2011.

Adjusted Operating Earnings in the third quarter were $28.8 million compared to $29.2 million last year, as improved earnings in the fresh bread business were offset by lower earnings from the fresh pasta business. Results benefited from positive hedging activities for raw materials during the quarter, although the business continues to experience inflationary costs and projected increases in flour and dairy costs that will require offsetting price increases. Volumes in the fresh bread business were consistent with the second quarter of 2012, but lower than last year, reflecting industry volume declines. Adjusted Operating Earnings for the first nine months were $66.5 million, a 17.2% decrease from earnings of $80.4 million last year, primarily as a result of lower volumes in the fresh bread business.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co™.

Frozen Bakery sales for the third quarter declined 4.2% to $123.8 million from $129.2 million in 2011. After adjusting for the closure of a bakery in the U.K. and currency translation on sales in the U.S. and U.K., sales increased 0.6%. Stronger volumes and selling prices in the North American frozen bakery operations were largely offset by lower volumes in the U.K. bakery business. Year-to-date sales were $371.5 million compared to $369.8 million in 2011. After adjusting for the closure of a bakery in the U.K. and currency translation on sales in the U.S. and U.K., sales increased 4.4%. The sales increase was mainly due to stronger volumes, sales prices, and improved mix in the North American frozen bakery operations. This was partially offset by volume declines in the U.K. bakery business.

Adjusted Operating Earnings in Frozen Bakery for the third quarter of 2012 increased to $5.5 million from $2.6 million last year. The North American frozen bakery business benefited from higher pricing and increased sales volumes compared to last year. In the U.K., earnings were consistent with last year as improvements from cost reduction strategies, including the closure of a bakery in the first quarter, were offset by lower volumes and costs of commissioning new croissant capacity. Year-to-date earnings increased to $13.9 million from $3.2 million last year, due to similar factors impacting the third quarter.

GROSS MARGIN

Gross margin increased to $82.6 million (20.6% of sales) in the third quarter of 2012, from $82.0 million (19.7% of sales) last year as positive hedging activities that lowered input costs were partially offset by higher inflationary costs across the businesses.

Year-to-date gross margins decreased to $229.8 million (19.5% of sales), from $238.8 million (20.0% of sales) in the first nine months of 2011, as higher pricing across the business was more than offset by higher inflationary costs and lower volumes, primarily attributable to the Fresh Bakery segment.

Management's Discussion and Analysis

SELLING, GENERAL AND ADMINISTRATIVE EXPENSES

Selling, general and administrative expenses in the quarter decreased 3.7% to $48.4 million (12.1% of sales) from $50.2 million (12.0% of sales) last year, driven by lower compensation expenses across most administrative functions.

Year-to-date selling, general and administrative expenses decreased 3.7% to $149.4 million (12.7% of sales) compared to $155.2 million (13.0% of sales) last year. The decrease is attributable to lower compensation expense across most administrative functions, partially offset by higher advertising and promotional spending earlier in the year related to marketing campaigns for the fresh bread and pasta businesses.

OTHER INCOME

Other income for the nine months ended September 30, 2012 was $1.4 million compared to $0.4 million last year. The increase was due to a legal settlement of $1.4 million related to the Company's fresh sandwich product line which was sold in 2011.

RESTRUCTURING AND OTHER RELATED COSTS

During the nine months ended September 30, 2012, the Company recorded restructuring and other related costs of $7.3 million ($5.7 million after-tax).

During the third quarter of 2012, $0.2 million ($0.1 million after-tax) was recorded, related to ongoing restructuring initiatives including the closure of two distribution centres in Quebec.

During the second quarter of 2012, $1.2 million ($0.9 million after-tax) was recorded, related primarily to the closures of two bakeries in Toronto, Ontario.

During the first quarter of 2012, $5.9 million ($4.6 million after-tax) was recorded. Of this amount, $3.7 million related to accelerated depreciation and other costs in connection with the closure of the Walsall, U.K. bakery. A further $2.0 million related to the closures of two bakeries in Toronto, Ontario and a third in Delta, British Columbia. The balance of restructuring costs was incurred in connection with other ongoing restructuring initiatives.

During the nine months ended September 30, 2011, the Company recorded restructuring and other related costs of $34.2 million ($26.0 million after-tax).

During the third quarter of 2011, $1.6 million ($1.2 million after-tax) was recorded, related primarily to bakery closures and the transfer of production from three Greater Toronto Area bakeries to the new Hamilton bakery.

During the second quarter of 2011, $12.5 million ($9.7 million after-tax) was recorded. Of this amount, $4.6 million in asset write-downs, $3.5 million in lease cancellation costs, and $2.4 million in severance costs related to bakery closures in the U.K. A further $0.8 million related to a transition from company–owned routes to franchisee routes in Atlantic Canada. The balance of restructuring costs was incurred in connection with other ongoing restructuring initiatives.

During the first quarter of 2011, $20.1 million ($15.1 million after-tax) was recorded. Of this amount, $11.2 million in asset write-downs and $2.9 million in severance costs related to bakery closures and the sale of the sandwich product line. A further $5.8 million in severance costs related to organizational changes. The balance of restructuring costs was incurred in connection with other ongoing restructuring initiatives.

The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs as at September 30, 2012 and September 30, 2011, all on a pre-tax basis:

(Unaudited) *($ thousands)*	Severance	Site closing and other cash costs	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at December 31, 2011	**$ 14,975**	**$ 6,776**	**$ –**	**$ 1,196**	**$ –**	**$ 22,947**
Charges	**127**	**1,094**	**4,628**	**35**	**–**	**5,884**
Cash payments	**(8,706)**	**(1,151)**	**–**	**(377)**	**–**	**(10,234)**
Non-cash items	**144**	**(144)**	**(4,628)**	**–**	**–**	**(4,628)**
Balance at March 31, 2012	**$ 6,540**	**$ 6,575**	**$ –**	**$ 854**	**$ –**	**$ 13,969**
Charges	**(419)**	**1,104**	**292**	**35**	**193**	**1,205**
Cash payments	**(2,763)**	**(497)**	**–**	**–**	**–**	**(3,260)**
Non-cash items	**637**	**–**	**(292)**	**(637)**	**(193)**	**(485)**
Balance at June 30, 2012	**$ 3,995**	**$ 7,182**	**$ –**	**$ 252**	**$ –**	**$ 11,429**
Charges	**354**	**(380)**	**77**	**35**	**84**	**170**
Cash payments	**(1,519)**	**(1)**	**–**	**–**	**–**	**(1,520)**
Non-cash items	**–**	**1**	**(77)**	**–**	**(84)**	**(160)**
Balance at September 30, 2012	**$ 2,830**	**$ 6,802**	**$ –**	**$ 287**	**$ –**	**$ 9,919**

(Unaudited) *($ thousands)*	Severance	Site closing and other cash costs	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at December 31, 2010	$ 11,228	$ 1,456	$ –	$ 384	$ –	$ 13,068
Charges	8,701	49	11,138	162	–	20,050
Cash payments	(1,652)	(12)	–	–	–	(1,664)
Non-cash items	–	–	(11,138)	–	–	(11,138)
Balance at March 31, 2011	$ 18,277	$ 1,493	$ –	$ 546	$ –	$ 20,316
Charges	3,318	3,582	5,245	402	–	12,547
Cash payments	(4,004)	(729)	–	–	–	(4,733)
Non-cash items	–	–	(5,245)	–	–	(5,245)
Balance at June 30, 2011	$ 17,591	$ 4,346	$ –	$ 948	$ –	$ 22,885
Charges	(156)	895	505	354	–	1,598
Cash payments	(3,360)	–	–	(159)	–	(3,519)
Non-cash items	–	(1,342)	(505)	–	–	(1,847)
Balance at September 30, 2011	$ 14,075	$ 3,899	$ –	$ 1,143	$ –	$ 19,117

INCOME TAXES

The Company's income tax expense in the third quarter of 2012 includes tax on earnings from operations before restructuring and other related costs at a rate of 28.1% (2011: 1.1%) and taxes recoverable on restructuring and other related costs at a rate of 24.6% (2011: 26.3%). The lower tax rate in the third quarter of 2011 on earnings before restructuring charges was a result of the Company recording income tax reductions of $10.0 million, primarily comprises of adjustments arising from a prior acquisition in its fresh bread business.

The Company's income tax expense for the nine months ended September 30, 2012 includes tax on earnings from operations before restructuring and other related costs at a rate of 28.7% (2011: 15.4%) and taxes recoverable on restructuring and other related costs at a rate of 23.0 % (2011: 23.9 %). The lower tax rate in the nine months ended September 30, 2011 on earnings before restructuring charges was a result of the Company recording income tax reductions of $12.4 million, primarily comprises of adjustments arising from a prior acquisition in its fresh bread business. The Company's effective tax rate for the nine months ended September 30, 2011 before these adjustments was 30.4%.

CAPITAL RESOURCES

The Company is exposed to fluctuations in the prices of raw materials, seasonal and other market-related price changes, particularly wheat costs. Due to the high sales volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short-term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements will be funded from operating cash flow and from existing credit facilities. Management is of the opinion that its operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and its planned capital investment program for at least the next 12 months.

Historically, the Company has generated operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide funding and surplus liquidity.

On June 28, 2012, the Company entered into a new five-year $50.0 million revolving credit facility with Maple Leaf Foods Inc. that bears interest based on short-term interest rates. The new credit facility replaced the Company's $250.0 million revolving credit facility that was due to mature on June 30, 2012. The new facility is unsecured and is subject to certain financial covenants. As at September 30, 2012, $1.6 million (September 30, 2011: $2.4 million) of the revolving facility was utilized. As at September 30, 2012 the Company was in compliance with its financial covenants.

As at September 30, 2012, the Company had aggregate undrawn credit facilities comprising the above revolving credit facility and other short-term bank operating lines of $91.8 million, excluding accounts receivable securitization programs (2011: $284.5 million), and available cash of $87.3 million (2011: $35.7 million). There were $11.3 million in letters of credit outstanding as at September 30, 2012 (2011: $9.8 million).

To access competitively priced financing, and to further diversify its funding sources, the Company operates an accounts receivable securitization facility. The Company sells certain accounts receivable, with very limited recourse, to an entity owned by an international financial institution with a long-term debt rating of AA. The receivables are sold at a discount to face value based on prevailing money market rates. At the end of the quarter, the Company had $102.8 million (2011: $112.2 million) of trade accounts receivable serviced under this facility. In return for the sale of its trade receivables, the Company received cash of $51.8 million (2011: $42.5 million) and a note receivable in the amount of $51.0 million (2011: $69.7 million). The maximum funding available to the Company under this program is $60.0 million.

This facility was accounted for as an off-balance sheet transaction under International Financial Reporting Standards ("IFRS").

CAPITAL EXPENDITURES

Capital expenditures in the third quarter of 2012 were $10.1 million, compared to $25.1 million last year. Year-to-date capital expenditures for the first nine months of 2012 were $32.2 million compared to $88.7 million last year. The lower capital spending during the three and nine months ended September 30, 2012 is primarily due to significant expenditures in prior year that related to the construction of the new fresh bakery in Hamilton, Ontario.

CASH FLOW AND FINANCING

Cash balances, net of debt, were $82.4 million at the end of the quarter, compared to $52.0 million as at December 31, 2011 and $31.6 million at the end of the third quarter of 2011. The increase in cash for the quarter is mainly due to cash generated from operations offset by investment in property and equipment.

Management's Discussion and Analysis

Cash Flow from Operating Activities

Cash flow from continuing operations in the third quarter of 2012 decreased to $24.1 million compared to $48.6 million in the prior year period, as a result of decreased earnings and increases in working capital. The change in working capital was mainly due to the timing of accounts receivable collections as compared to prior year due to the postal strike in 2011 that delayed collections in the second quarter into the third quarter.

Cash Flow from Financing Activities

Cash flow from financing activities was an outflow of $12.7 million in the quarter which compared to an outflow of $8.6 million in the prior year period. The outflow was mainly due to the payment of dividends.

Cash Flow from Investing Activities

Cash flow from investing activities was an outflow of $7.7 million for the third quarter compared to an outflow of $24.9 million last year, as a result of decreased capital expenditures, primarily related to the construction of the new fresh bakery facility in Hamilton, Ontario.

Credit Risk

Credit risk refers to the risk of losses due to failure of the Company's customers and counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other receivables in order to mitigate any possible credit losses. As at September 30, 2012, approximately $0.6 million (2011: $0.8 million) of the Company's accounts receivable were greater than 60 days past due. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individual exposures and a provision based on historical trends of collections. As at September 30, 2012, the Company has recorded an allowance for doubtful accounts of $2.5 million (2011: $2.2 million). There are no significant impaired accounts receivable that have not been provided for in the allowance for doubtful accounts. The Company believes that the allowance for uncollectible accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

OTHER MATTERS

On October 30, 2012, the Company declared a dividend of $0.50 per share payable on January 2, 2013 to shareholders of record at the close of business on December 7, 2012. Unless indicated otherwise by the Company in writing on or before the time the dividend is paid, this dividend will be considered an Eligible Dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Management's Discussion and Analysis

SUMMARY OF QUARTERLY RESULTS

The following is a summary of unaudited quarterly financial information (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Full Year
Sales[(i)]	**2012**	**$ 370,244**	**$ 404,861**	**$ 401,494**	**$ –**	**$ –**
	2011	371,760	406,245	417,171	400,280	1,595,456
	2010	381,932	402,062	411,364	393,079	1,588,437
Net earnings (loss)[(i)]	**2012**	**$ 839**	**$ 26,775**	**$ 24,215**	**$ –**	**$ –**
	2011	(966)	14,904	30,256	7,757	51,951
	2010	12,969	20,949	14,313	13,841	62,072
Earnings (loss) per Share						
Basic and diluted[(i)(ii)]	**2012**	**$ 0.03**	**$ 1.05**	**$ 0.95**	**$ –**	**$ –**
	2011	(0.04)	0.59	1.19	0.31	2.04
	2010	0.51	0.82	0.56	0.54	2.44
Adjusted EPS[(i)(ii)(iii)]	**2012**	**$ 0.21**	**$ 1.09**	**$ 0.96**	**$ –**	**$ –**
	2011	0.56	0.97	1.24	0.67	3.43
	2010	0.56	0.85	0.87	0.62	2.90

(i) Figures are in accordance with IFRS.
(ii) May not add due to rounding.
(iii) Refer to Non-IFRS Financial Measures starting on page 10.

Quarterly sales in 2012 were affected by the following significant items:

- price increases implemented during 2011 and the first quarter of 2012 in the North American frozen bakery operations
- lower sales volumes in the Company's fresh bread business
- the sale of the fresh sandwich product line at the beginning of 2011
- the Company's exit from fresh and in-store bakery bread production in the U.K. in March 2012

Quarterly net earnings in 2012 were affected by the following significant items:

- lower sales volumes in the Company's fresh bread business
- inventory write-downs in the fresh pasta business during the first quarter of 2012
- duplicative overhead costs during the first nine months related to the Company's new fresh bakery in Hamilton, Ontario
- closure of the Walsall, U.K. facility in March 2012 related to the exit from production of certain bread categories in the U.K.
- lower selling, administrative and general management costs
- higher inflationary costs in the business
- restructuring and other related costs
- settlement of a legal claim in the second quarter of 2012 related to the Company's fresh sandwich product line which was sold in 2011.

Quarterly sales in 2011 were affected by the following significant items:

- price increases implemented to offset higher input costs
- the sale of the fresh sandwich product line at the beginning of 2011
- the appreciation of the Canadian dollar relative to the U.S. dollar and the British pound which reduced the sales value of frozen bakery products sold in the U.S. and U.K.
- lower sales volumes in the fresh bread business and frozen bakery operations in the U.S.

Quarterly net earnings in 2011 were affected by the following significant items:

- timing of price increases implemented in 2011 relative to the rise of input costs
- increased advertising and promotion spending as a result of the re-launch of the New York Bakery brand in the U.K.

- the appreciation of the Canadian dollar relative to the U.S. dollar which reduced the cost of U.S. dollar priced ingredients and to a lesser extent, lowered ingredient costs
- benefits from strategic and other cost reduction initiatives, including personnel reduction, network and product simplification, and the closure of a frozen bakery plant in Quebec
- duplicative overhead costs related to the new fresh bakery in Hamilton, Ontario
- supply chain disruptions related to the installation of SAP in the fresh bread Western Canada operations in the fourth quarter
- restructuring and other related costs
- income tax adjustments of $2.4 million in the first quarter and $10.0 million in the third quarter, primarily arising from a prior acquisition in the Company's fresh bread business, which resulted in a lower tax rate on operating earnings.

For an explanation and analysis of quarterly results, refer to the Company's Management's Discussion and Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

SIGNIFICANT ACCOUNTING POLICIES

Accounting Standards Adopted During the Period

During the nine months ended September 30, 2012, the Company adopted certain amendments to IFRS 7 *Financial Instruments: Disclosures*. These amendments require disclosure of information that enables users of financial statements to understand the relationship between transferred financial assets that are not derecognized in their entirety and the associated liabilities; and to evaluate the nature of, and risks associated with, the Company's continuing involvement in derecognized financial assets. The adoption of these amendments to IFRS 7 did not have any impact on the disclosures of the Company for the three and nine months ended September 30, 2012.

Recent Accounting Pronouncements

Financial Instruments Recognition and Measurement

In October 2010, the International Accounting Standards Board ("IASB") published amendments to IFRS 9 *Financial Instruments* (IFRS 9 (2010)) which provides added guidance on the classification and measurement of financial liabilities. IFRS 9 (2010) supersedes IFRS 9 (2009) and is effective for annual periods beginning on or after January 1, 2015, with early adoption permitted. For annual periods beginning before January 1, 2015, either IFRS 9 (2009) or IFRS 9 (2010) may be applied. The Company intends to adopt IFRS 9 (2010) in its financial statements for the annual period beginning on January 1, 2015. The extent of the impact of adoption of IFRS 9 (2010) has not yet been determined.

Financial Assets and Liabilities

In December 2011, the IASB published amendments to International Accounting Standard ("IAS") 32 *Financial Instruments: Presentation* and issued new disclosure requirements in IFRS 7 *Financial Instruments: Disclosures*. The effective date for the amendments to IAS 32 is annual periods beginning on or after January 1, 2014. Certain of the amendments to IFRS 7 were adopted by the Company during the first quarter of 2012, as described above, the remainder of the amendments are to be adopted for annual periods beginning on or after January 1, 2013. These amendments are to be applied retrospectively.

The amendments to IAS 32 clarify when an entity has a legally enforceable right to offset as well as clarify when a settlement mechanism provides for net settlement, or gross settlement that is equivalent to net settlement. The amendments to IFRS 7 contain new disclosure requirements for financial assets and liabilities that are offset in the statement of financial position or subject to master netting arrangements or similar arrangements. The Company intends to adopt the amendments to IFRS 7 in its financial statements for the annual period beginning on January 1, 2013, and the amendments to IAS 32 in its financial statements for the annual period beginning January 1, 2014. The extent of the impact of adoption of the amendments has not yet been determined.

Consolidated Financial Statements

In May 2011, the IASB issued IFRS 10 *Consolidated Financial Statements*. IFRS 10 replaces portions of IAS 27 *Consolidated and Separate Financial Statements* that address consolidation, and supersedes SIC 12 *Consolidation – Special Purpose Entities* ("SPEs"), in its entirety. IFRS 10 provides a single model to be applied in the analysis of control

of all investees, including entities that currently are SPEs in the scope of SIC 12. In addition, the consolidation procedures specified in IFRS 10 are carried forward substantially unmodified from IAS 27.

Joint Arrangements

In May 2011, the IASB issued IFRS 11 *Joint Arrangements*. IFRS 11 supersedes IAS 31 *Interest in Joint Ventures* and SIC 13 *Jointly Controlled Entities – Non-Monetary Contributions by Venturers*. Through an assessment of the rights and obligations in an arrangement, IFRS 11 establishes principles to determine the type of joint arrangement, which are classified as either joint operations or joint ventures, and provides guidance for financial reporting activities required by the entities that have an interest in arrangements that are controlled jointly. Investments in joint ventures are required to be accounted for using the equity method.

As a result of the issuance of IFRS 10 and IFRS 11, IAS 28 *Investments in Associates and Joint Ventures* has been amended to correspond to the guidance provided in IFRS 10 and IFRS 11.

Disclosure of Interests in Other Entities

In May 2011, the IASB issued IFRS 12 *Disclosure of Interests in Other Entities,* which contains disclosure requirements for companies that have interests in subsidiaries, joint arrangements, associates and unconsolidated structured entities.

IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are all effective for annual periods beginning on or after January 1, 2013. Early adoption is permitted, so long as IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are adopted at the same time. However, entities are permitted to incorporate any of the disclosure requirements in IFRS 12 into their financial statements without early adopting IFRS 10, IFRS 11 and the amendments to IAS 27 and IAS 28. The Company intends to adopt IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 in its consolidated financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 has not yet been determined.

Fair Value Measurement

In May 2011, the IASB published IFRS 13 *Fair Value Measurement*, which is effective prospectively for annual periods beginning on or after January 1, 2013. IFRS 13 replaces the fair value measurement guidance contained in individual IFRSs with a single source of fair value measurement guidance. The standard also establishes a framework for measuring fair value and sets out disclosure requirements for fair value measurements. The Company intends to adopt IFRS 13 prospectively in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 13 has not yet been determined.

Presentation of Financial Statements

In June 2011, the IASB published amendments to IAS 1 *Presentation of Financial Statements*, which are effective for annual periods beginning on or after July 1, 2012 and are to be applied retrospectively. Early adoption is permitted. The amendments require that a company present separately the items of other comprehensive income that may be reclassified to profit or loss in the future from those that would never be reclassified to profit or loss. The Company intends to adopt the amendments in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of the amendments has not yet been determined.

Employee Benefits

In June 2011, the IASB published an amended version of IAS 19 *Employee Benefits*. Adoption of the amendment is required for annual periods beginning on or after January 1, 2013, with early adoption permitted. The amendment is generally applied retrospectively with certain exceptions. The amendment will require the calculation of expected return on plan assets to be based on the rate used to discount the defined benefit obligation. The amendment also requires other changes and additional disclosures. The Company intends to adopt the amendment in its financial statements for the annual period beginning on January 1, 2013.

The Company estimates the impact of retrospective application to the 2012 comparative annual figures in the 2013 financial statements, relating to the calculation of expected return on plan assets being based on the rate used to discount the defined benefit obligation, will be an increase in pre-tax pension expense between $2.5 million to $3.5 million (between $1.9 million to $2.6 million after-tax). This would be offset by a corresponding decrease in other comprehensive loss. Management is still in the process of assessing the full impact of the above amount and the remaining amendments to this standard.

DISCLOSURE CONTROLS AND INTERNAL CONTROL OVER FINANCIAL REPORTING

There have been no changes in the Company's internal control over financial reporting that occurred during the period beginning on January 1, 2012 and ended on September 30, 2012 that have materially affected, or are reasonably likely to materially affect, the Company's internal control over financial reporting.

NON-IFRS FINANCIAL MEASURES

The Company uses the following non-IFRS measures: Adjusted Operating Earnings, Adjusted EPS, and Net Debt. Management believes that these non-IFRS measures provide useful information to both management and investors in measuring the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by IFRS and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with IFRS.

Adjusted Operating Earnings

The following table reconciles earnings from operations before restructuring and other related costs and other income (expense) to net earnings as reported under IFRS in the unaudited condensed consolidated interim statements of earnings for the three and nine months ended, as indicated below. Management believes that this basis is the most appropriate on which to evaluate operating results, as restructuring and other related costs and other income (expense) are not representative of operational results.

	Three months ended September 30, 2012		
(Unaudited) *($ thousands)*	**Fresh Bakery**	**Frozen Bakery**	**Consolidated**
Net earnings			**$ 24,215**
Income taxes			**9,471**
Earnings from operations before income taxes			**$ 33,686**
Interest expense			**365**
Earnings from operations before interest and income taxes	**$ 28,576**	**$ 5,475**	**$ 34,051**
Other (income) expense	**13**	**–**	**13**
Restructuring and other related costs	**176**	**(6)**	**170**
Adjusted Operating Earnings	**$ 28,765**	**$ 5,469**	**$ 34,234**

	Three months ended September 30, 2011		
(Unaudited) *($ thousands)*	**Fresh Bakery**	**Frozen Bakery**	**Consolidated**
Net earnings			$ 30,256
Income taxes			(74)
Earnings from operations before income taxes			$ 30,182
Interest expense			269
Earnings (loss) from operations before interest and income taxes	$ 28,658	$ 1,793	$ 30,451
Other (income) expense	86	(372)	(286)
Restructuring and other related costs	454	1,144	1,598
Adjusted Operating Earnings	$ 29,198	$ 2,565	$ 31,763

(Unaudited) *($ thousands)*	Nine months ended September 30, 2012 **Fresh Bakery**	**Frozen Bakery**	**Consolidated**
Net earnings			**$ 51,829**
Income taxes			**21,501**
Earnings from operations before income taxes			**$ 73,330**
Interest expense			**1,193**
Earnings from operations before interest and income taxes	**$ 64,639**	**$ 9,884**	**$ 74,523**
Other (income) expense	**(1,567)**	**209**	**(1,358)**
Restructuring and other related costs	**3,468**	**3,791**	**7,259**
Adjusted Operating Earnings	**$ 66,540**	**$13,884**	**$ 80,424**

(Unaudited) *($ thousands)*	Nine months ended September 30, 2011 **Fresh Bakery**	**Frozen Bakery**	**Consolidated**
Net earnings			$ 44,194
Income taxes			4,693
Earnings from operations before income taxes			$ 48,887
Interest expense			872
Earnings (loss) from operations before interest and income taxes	$ 67,886	$ (18,127)	$ 49,759
Other (income) expense	8	(372)	(364)
Restructuring and other related costs	12,500	21,695	34,195
Adjusted Operating Earnings	$ 80,394	$ 3,196	$ 83,590

Adjusted Earnings per Share

The following table reconciles Adjusted Earnings per Share to basic earnings per share as reported under IFRS in the unaudited condensed consolidated interim statements of earnings for the three and nine months ended, as indicated below. Management believes this basis is the most appropriate on which to evaluate financial results as restructuring and other related costs are not representative of operational results.

(Unaudited) *($ per share)*	Three months ended September 30, **2012**	2011	Nine months ended September 30, **2012**	2011
Basic earnings per share	**$ 0.95**	$ 1.19	**$ 2.04**	$ 1.74
Restructuring and other related costs[(i)]	**0.01**	0.05	**0.22**	1.02
Adjusted Earnings per Share[(ii)]	**$ 0.96**	$ 1.24	**$ 2.26**	$ 2.76

(i) Includes per share impact of restructuring and other related costs, net of tax.
(ii) May not add due to rounding.

Net Debt

The following table reconciles net debt as disclosed in this Management's Discussion and Analysis on page 6 to IFRS amounts in the unaudited condensed consolidated interim balance sheets as at the dates indicated below. The Company calculates net debt as long-term debt and bank indebtedness, less cash and cash equivalents.

(Unaudited) *($ thousands)*	**As at September 30, 2012**	As at September 30, 2011	As at June 30, 2012	As at December 31, 2011
Bank indebtedness	**$ 1,587**	$ –	$ 1,595	$ 3,153
Current portion of long-term debt	**350**	2,449	264	2,452
Long term debt	**2,986**	1,697	3,093	1,634
Sub-total	**$ 4,923**	$ 4,146	$ 4,952	$ 7,239
Cash and cash equivalents	**(87,300)**	(35,731)	(83,631)	(59,223)
Net debt (cash)	**$ (82,377)**	$ (31,585)	$ (78,679)	$ (51,984)

FORWARD-LOOKING STATEMENTS

This document contains, and the Company's oral and written public communications often contain, "forward-looking information" within the meaning of applicable securities laws. These statements are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking information in this document includes, but is not limited to, statements concerning expectations regarding actions to reduce costs and improve efficiencies, restore volumes and/or increase prices, timing of promotional investment, improving business trends, expected duplicative overhead costs incurred due to the concurrent operation of the new Hamilton fresh bakery and existing bakeries, expectations regarding the timing and amount of capital investments; expectations regarding the timing and cost of plant closures; the expected use of cash balances, source of funds for ongoing business requirements, capital investments and debt repayment, and expectations regarding sufficiency of the allowance for uncollectible accounts. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate" and variations of such words and similar expressions are intended to identify such forward-looking information. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, U.S. and U.K. economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking information, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking information include, among other things:

- the risks associated with changes in the Company's shared systems and processes
- the Company's exposure to currency exchange risks
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options
- the impact of international events on commodity prices and the free flow of goods

- the risks associated with a consolidating retail environment
- the risks posed by food contamination, consumer liability and product recalls
- the risks related to acquisitions and capital expansion projects
- the risks posed by compliance with extensive government regulation
- the risks posed by litigation
- the impact of changes in consumer tastes and buying patterns
- the impact of extensive environmental regulation and potential environmental liabilities
- the risks associated with complying with differing employment laws and practices globally, the potential for work stoppages due to non-renewal of collective agreements and recruiting and retaining qualified personnel
- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates
- the risks associated with the Company's independent distributors
- the risks posed by competition
- the risks associated with pricing the Company's products
- the risks associated with managing the Company's supply chain; and
- the risks associated with failing to identify and manage the strategic risks facing the Company.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" in the Company's Management's Discussion and Analysis for the year ended December 31, 2011 and are updated each quarter in the Management's Discussion and Analysis, which are available on SEDAR at www.sedar.com. The reader should review such section in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking information, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

The Company, which is 90% owned by Maple Leaf Foods Inc. (TSX: MFI), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2011 sales of $1.6 billion and employs approximately 6,000 people at its operations across North America and in the United Kingdom.

Consolidated Balance Sheets

(In thousands of Canadian dollars)	**As at September 30, 2012**	As at September 30, 2011	As at December 31, 2011
	(Unaudited)	(Unaudited)	
ASSETS			
Current assets			
Cash and cash equivalents	**$ 87,300**	$ 35,731	$ 59,223
Accounts receivable (Note 4)	**39,702**	46,910	56,522
Due from Maple Leaf Foods Inc.	**–**	426	–
Note receivable (Note 4)	**50,973**	69,692	45,847
Inventories (Note 5)	**63,912**	62,721	60,048
Income taxes recoverable	**–**	14,442	2,162
Prepaid expenses and other assets	**4,288**	8,154	5,218
	$ 246,175	$ 238,076	$ 229,020
Property and equipment	**409,958**	421,431	425,944
Investment property	**9,524**	8,537	8,415
Employee benefits (Note 6)	**–**	2,133	–
Other long-term assets	**4,713**	4,424	4,456
Deferred tax asset	**19,419**	14,418	17,917
Goodwill (Note 7)	**263,177**	268,264	266,013
Intangible assets (Note 8)	**12,046**	13,348	12,710
Total assets	**$ 965,012**	$ 970,631	$ 964,475
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Bank indebtedness	**$ 1,587**	$ –	$ 3,153
Accounts payable and accruals	**177,101**	191,047	185,811
Provisions (Note 9)	**10,251**	19,236	23,066
Due to Maple Leaf Foods Inc. (Note 15)	**3,571**	–	2,451
Dividends payable	**12,708**	5,083	5,083
Income taxes payable	**123**	–	–
Current portion of long-term debt (Note 10)	**350**	2,449	2,452
	$ 205,691	$ 217,815	$ 222,016
Long-term debt (Note 10)	**2,986**	1,697	1,634
Deferred tax liability	**19,224**	24,689	21,784
Employee benefits (Note 6)	**60,447**	53,513	50,434
Provisions (Note 9)	**5,521**	5,319	5,005
Total liabilities	**$ 293,869**	$ 303,033	$ 300,873
Shareholders' equity			
Share capital	**$ 142,965**	$ 142,965	$ 142,965
Retained earnings	**543,316**	529,128	530,852
Accumulated other comprehensive loss (Note 11)	**(15,138)**	(4,495)	(10,215)
Total shareholders' equity	**$ 671,143**	$ 667,598	$ 663,602
Total liabilities and shareholders' equity	**$ 965,012**	$ 970,631	$ 964,475

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements

Consolidated Statements of Earnings

(In thousands of Canadian dollars, except share amounts) *(Unaudited)*	Three months ended September 30, **2012**	2011	Nine months ended September 30, **2012**	2011
Sales	**$ 401,494**	$ 417,171	**$ 1,176,599**	$ 1,195,176
Cost of goods sold	**318,879**	335,174	**946,787**	956,389
Gross margin	**$ 82,615**	$ 81,997	**$ 229,812**	$ 238,787
Selling, general and administrative expenses	**48,381**	50,234	**149,388**	155,197
Earnings before the following:	**$ 34,234**	$ 31,763	**$ 80,424**	$ 83,590
Restructuring and other related costs (Note 9)	**(170)**	(1,598)	**(7,259)**	(34,195)
Other (expense) income (Note 13)	**(13)**	286	**1,358**	364
Earnings before interest and income taxes	**$ 34,051**	$ 30,451	**$ 74,523**	$ 49,759
Interest expense (Note 14)	**365**	269	**1,193**	872
Earnings before income taxes	**$ 33,686**	$ 30,182	**$ 73,330**	$ 48,887
Income taxes	**9,471**	(74)	**21,501**	4,693
Net earnings	**$ 24,215**	$ 30,256	**$ 51,829**	$ 44,194
Earnings per share				
Basic and diluted earnings per share	**$ 0. 95**	$ 1.19	**$ 2. 04**	$ 1.74
Weighted average number of shares (millions)	**25. 4**	25.4	**25. 4**	25.4

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements

Consolidated Statements of Comprehensive Income

(In thousands of Canadian dollars) *(Unaudited)*	Three months ended September 30, **2012**	2011	Nine months ended September 30, **2012**	2011
Net earnings	**$ 24,215**	$ 30,256	**$ 51,829**	$ 44,194
Other comprehensive income (loss)				
Change in accumulated foreign currency translation adjustment	**(4,836)**	14,070	**(4,273)**	8,554
Change in unrealized gains and losses on cash flow hedges	**(228)**	1,902	**(650)**	1,047
Change in actuarial gains and losses	**(4,741)**	(13,500)	**(8,864)**	(13,500)
	$ (9,805)	$ 2,472	**$ (13,787)**	$ (3,899)
Comprehensive income	**$ 14,410**	$ 32,728	**$ 38,042**	$ 40,295

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements

Consolidated Statements of Changes in Shareholders' Equity

(In thousands of Canadian dollars) (Unaudited)	**Share capital**	**Retained earnings**	**Total accumulated other comprehensive loss**	**Total shareholders' equity**
Balance at December 31, 2011	**$ 142,965**	**$ 530,852**	**$ (10,215)**	**$ 663,602**
Net earnings	**–**	**51,829**	**–**	**51,829**
Other comprehensive loss	**–**	**(8,864)**	**(4,923)**	**(13,787)**
Dividends declared ($1.20 per share)	**–**	**(30,501)**	**–**	**(30,501)**
Balance at September 30, 2012	**$ 142,965**	**$ 543,316**	**$ (15,138)**	**$ 671,143**

(In thousands of Canadian dollars) (Unaudited)	**Share capital**	**Retained earnings**	**Total accumulated other comprehensive loss**	**Total shareholders' equity**
Balance at December 31, 2010	$ 142,965	$ 510,126	$ (14,096)	$ 638,995
Net earnings	–	44,194	–	44,194
Other comprehensive (loss) income	–	(13,500)	9,601	(3,899)
Dividends declared ($0.46 per share)	–	(11,692)	–	(11,692)
Balance at September 30, 2011	$ 142,965	$ 529,128	$ (4,495)	$ 667,598

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements

Consolidated Statements of Cash Flows

(In thousands of Canadian dollars) *(Unaudited)*	Three months ended September 30, **2012**	2011	Nine months ended September 30, **2012**	2011
CASH PROVIDED BY (USED IN):				
Operating activities				
Net earnings	**$ 24,215**	$ 30,256	**$ 51,829**	$ 44,194
Add (deduct) items not affecting cash:				
Depreciation and amortization	**12,582**	11,432	**36,522**	35,046
Deferred income taxes	**(814)**	3,033	**554**	(629)
Current income taxes	**10,285**	(3,107)	**20,947**	5,322
Interest expense	**365**	269	**1,193**	872
(Gain) loss on sale of long-term assets	**(11)**	267	**(137)**	268
Change in provision for restructuring and other related costs	**(1,157)**	(1,920)	**(7,755)**	24,280
Decrease in pension liability	**(432)**	–	**(1,875)**	–
Net income taxes paid	**(7,831)**	(4,487)	**(18,222)**	(21,887)
Interest paid	**(350)**	(437)	**(1,204)**	(795)
Other	**(112)**	3,578	**304**	594
Change in non-cash operating working capital	**(12,608)**	9,761	**(1,553)**	(32,892)
Cash provided by operating activities	**$ 24,132**	$ 48,645	**$ 80,603**	$ 54,373
Financing activities				
Dividends paid	**$ (12,708)**	$ (8,642)	**$ (22,840)**	$ (11,692)
Repayment of long-term debt	**(34)**	–	**(822)**	–
Cash used in financing activities	**$ (12,742)**	$ (8,642)	**$ (23,662)**	$ (11,692)
Investing activities				
Additions to long-term assets	**$ (10,147)**	$ (25,087)	**$ (32,180)**	$ (88,715)
Capitalization of interest expense	**–**	–	**–**	(119)
Proceeds from sale of long-term assets	**2,434**	–	**4,882**	5,294
Other	**–**	144	**–**	(34)
Cash used in investing activities	**$ (7,713)**	$ (24,943)	**$ (27,298)**	$ (83,574)
Increase (decrease) in cash and cash equivalents	**$ 3,677**	$ 15,060	**$ 29,643**	$ (40,893)
Net cash and cash equivalents, beginning of period	**82,036**	20,671	**56,070**	76,624
Net cash and cash equivalents, end of period	**$ 85,713**	$ 35,731	**$ 85,713**	$ 35,731
Net cash and cash equivalents is comprised of:				
Cash and cash equivalents	**$ 87,300**	$ 35,731	**$ 87,300**	$ 35,731
Bank indebtedness	**(1,587)**	–	**(1,587)**	–
Net cash and cash equivalents, end of period	**$ 85,713**	$ 35,731	**$ 85,713**	$ 35,731

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the baking industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. The address of the Company's registered office is 10 Four Seasons Place, Etobicoke, Ontario, M9B 6H7 Canada. The condensed consolidated interim financial statements of the Company as at and for the three and nine months ended September 30, 2012 include the accounts of the Company and its subsidiaries. The Company's results are organized into two segments: Fresh Bakery and Frozen Bakery. Canada Bread is 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf").

2. BASIS OF PREPARATION

(a) Statement of Compliance

The unaudited condensed consolidated interim financial statements (or "consolidated financial statements") have been prepared in accordance with International Accounting Standards ("IAS") 34 *Interim Financial Reporting* as issued by the International Accounting Standards Board ("IASB") and using the accounting policies described therein, consistent with the Company's 2011 annual audited consolidated financial statements. The September 30, 2011 comparatives reflect the final International Financial Reporting Standards ("IFRS") transitional adjustments reflected in the Company's 2011 annual audited consolidated financial statements.

The consolidated financial statements were approved for issue by the Board of Directors on October 30, 2012.

(b) Basis of Measurement

The consolidated financial statements have been prepared on the historical cost basis except for certain financial instruments and defined benefit plan assets and liabilities that are stated at fair value.

(c) Functional and Presentation Currency

The consolidated financial statements are presented in Canadian dollars, which is the Company's functional currency.

(d) Use of Estimates and Judgments

The preparation of consolidated financial statements in accordance with IFRS requires Management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual amounts may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognized in the consolidated financial statements are included in the following notes:

Goodwill and Intangible Assets Valuation

The values associated with intangible assets and goodwill involve significant estimates and assumptions, including those with respect to future cash inflows and outflows, discount rates and asset lives. These estimates and assumptions could affect the Company's future results if the current estimates of future performance and fair values change.

These determinations will affect the amount of amortization expense on definite life intangible assets recognized in future periods.

The Company assesses impairment by comparing the recoverable amount of an intangible asset or goodwill with its carrying value. The recoverable amount is defined as the higher of: (i) value in use, or (ii) fair value less cost to sell. The determination of the recoverable amount involves Management's judgment and estimation.

Allowance for Bad Debts

The Company establishes an appropriate provision for uncollectible or doubtful accounts. Estimates of recoverable amounts are based on Management's best estimate of a customer's ability to settle its obligations, and actual amounts received may be affected by various factors, including changes in individual customer financial conditions. To the extent that actual losses on uncollectible accounts differ from those estimated in the Company's provision, both accounts receivable and net earnings will be affected.

Provisions for Inventory

Management makes estimates of the future customer demand for our products when establishing appropriate provisions for inventory. In making these estimates, Management considers product life of inventory and the profitability of recent sales of inventory. In many cases, product sold by the Company turns quickly and inventory on-hand values are low, thus reducing the risk of material misstatement. However, in the fresh business, code or "best before" dates are very important in the determination of realizable value, and inventory values are significant. Management ensures that systems are in place to highlight and properly value inventory that may be approaching code dates. To the extent that actual losses on inventory differ from those estimated, both inventory and net earnings will be affected.

Trade Merchandise Allowances and Other Trade Discounts

The Company provides for estimated payments to customers based on various trade programs and contracts that often include payments that are contingent upon attainment of specified sales volumes. Significant estimates used to determine these liabilities include the projected level of sales volume for the relevant period and the historical promotional expenditure rate compared to contracted rates. These arrangements are complex and there are a significant number of customers and products affected. Management has systems and processes in place to estimate and value these obligations. To the extent that payments on trade discounts differ from estimates of the related liability, both accrued liabilities and net earnings will be affected.

Employee Benefit Plans

The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected unit credit method prorated on service and Management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees, mortality rates and expected health care costs. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan liabilities. Management employs external experts to advise the Company when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses.

Income Taxes

Provisions for income taxes are based on domestic and international statutory income tax rates and the amount of income earned in the jurisdictions in which the Company operates. Significant judgment is required in determining income tax provisions and the recoverability of deferred tax assets. The calculation of current and deferred income tax balances requires Management to make estimates regarding the carrying values of assets and liabilities that include estimates of future cash flows and earnings related to such assets and liabilities, the interpretation of income tax legislation in the jurisdictions in which the Company operates, and the timing of reversal of temporary differences. The Company establishes additional provisions for income taxes when, despite Management's opinion that the Company's tax positions are fully supportable, there is sufficient complexity or uncertainty in the application of legislation that certain tax positions may be reassessed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances.

Provisions

The Company evaluates all provisions at each reporting date. These provisions can be significant and are prepared using estimates of the costs of future activities. In certain instances, Management may determine that these provisions are no longer required or that certain provisions are insufficient as new events occur or as additional information is obtained. Provisions are separately identified and disclosed in the Company's consolidated financial statements.

Depreciation and Amortization

The Company's property and equipment and definite life intangible assets are depreciated and amortized on a straight-line basis, taking into account the expected useful lives of the assets and residual values. Changes to these estimates may affect both the carrying value of these assets and net earnings.

3. SIGNIFICANT ACCOUNTING POLICIES

The consolidated financial statements should be read in conjunction with the Company's 2011 annual audited consolidated financial statements. These consolidated financial statements have been prepared in accordance with IFRS using the same accounting policies as were applied from the 2011 annual consolidated financial statements.

(a) Accounting Standards Adopted During the Period

During the nine months ended September 30, 2012, the Company adopted certain amendments to IFRS 7 *Financial Instruments: Disclosures*. These amendments require disclosure of information that enables users of financial statements to understand the relationship between transferred financial assets that are not derecognized in their entirety and the associated liabilities; and to evaluate the nature of, and risks associated with, the Company's continuing involvement in derecognized financial assets. The adoption of these amendments to IFRS 7 did not have any impact on the disclosures of the Company for the three and nine months ended September 30, 2012.

(b) Recent Accounting Pronouncements

Financial Instruments – Recognition and Measurement

In October 2010, the IASB published amendments to IFRS 9 *Financial Instruments* (IFRS 9 (2010)) which provides added guidance on the classification and measurement of financial liabilities. IFRS 9 (2010) supersedes IFRS 9 (2009) and is effective for annual periods beginning on or after January 1, 2015, with early adoption permitted. For annual periods beginning before January 1, 2015, either IFRS 9 (2009) or IFRS 9 (2010) may be applied. The Company intends to adopt IFRS 9 (2010) in its financial statements for the annual period beginning on January 1, 2015. The extent of the impact of adoption of IFRS 9 (2010) has not yet been determined.

Financial Assets and Liabilities

In December 2011, the IASB published amendments to IAS 32 *Financial Instruments: Presentation* and issued new disclosure requirements in IFRS 7 *Financial Instruments: Disclosures*. The effective date for the amendments to IAS 32 is annual periods beginning on or after January 1, 2014. Certain of the amendments to IFRS 7 were adopted by the Company during the first nine months of 2012, as described in Note 3 section (a) above, the remainder of the amendments are to be adopted for annual periods beginning on or after January 1, 2013. These amendments are to be applied retrospectively.

The amendments to IAS 32 clarify when an entity has a legally enforceable right to offset as well as clarify when a settlement mechanism provides for net settlement, or gross settlement that is equivalent to net settlement. The amendments to IFRS 7 contain new disclosure requirements for financial assets and liabilities that are offset in the statement of financial position or subject to master netting arrangements or similar arrangements. The Company intends to adopt the amendments to IFRS 7 in its financial statements for the annual period beginning on January 1, 2013, and the amendments to IAS 32 in its financial statements for the annual period beginning January 1, 2014. The extent of the impact of adoption of the amendments has not yet been determined.

Consolidated Financial Statements

In May 2011, the IASB issued IFRS 10 *Consolidated Financial Statements*. IFRS 10 replaces portions of IAS 27 *Consolidated and Separate Financial Statements* that address consolidation, and supersedes SIC 12 *Consolidation – Special Purpose Entities* ("SPEs"), in its entirety. IFRS 10 provides a single model to be applied in the analysis of control of all investees, including entities that currently are SPEs in the scope of SIC 12. In addition, the consolidation procedures specified in IFRS 10 are carried forward substantially unmodified from IAS 27.

Joint Arrangements

In May 2011, the IASB issued IFRS 11 *Joint Arrangements*. IFRS 11 supersedes IAS 31 *Interest in Joint Ventures* and SIC 13 *Jointly Controlled Entities – Non-Monetary Contributions by Venturers*. Through an assessment of the rights and obligations in an arrangement, IFRS 11 establishes principles to determine the type of joint arrangement, which are classified as either joint operations or joint ventures, and provides guidance for financial reporting activities required by the entities that have an interest in arrangements that are controlled jointly. Investments in joint ventures are required to be accounted for using the equity method.

As a result of the issuance of IFRS 10 and IFRS 11, IAS 28 *Investments in Associates and Joint Ventures* has been amended to correspond to the guidance provided in IFRS 10 and IFRS 11.

Disclosure of Interests in Other Entities

In May 2011, the IASB issued IFRS 12 *Disclosure of Interests in Other Entities,* which contains disclosure requirements for companies that have interests in subsidiaries, joint arrangements, associates and unconsolidated structured entities.

IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are all effective for annual periods beginning on or after January 1, 2013. Early adoption is permitted, so long as IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are adopted at the same time. However, entities are permitted to incorporate any of the disclosure requirements in IFRS 12 into their financial statements without early adopting IFRS 10, IFRS 11 and the amendments to IAS 27 and IAS 28. The Company intends to adopt IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 in its consolidated financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 has not yet been determined.

Fair Value Measurement

In May 2011, the IASB published IFRS 13 *Fair Value Measurement*, which is effective prospectively for annual periods beginning on or after January 1, 2013. IFRS 13 replaces the fair value measurement guidance contained in individual IFRSs with a single source of fair value measurement guidance. The standard also establishes a framework for measuring fair value and sets out disclosure requirements for fair value measurements. The Company intends to adopt IFRS 13 prospectively in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 13 has not yet been determined.

Presentation of Financial Statements

In June 2011, the IASB published amendments to IAS 1 *Presentation of Financial Statements*, which are effective for annual periods beginning on or after July 1, 2012 and are to be applied retrospectively. Early adoption is permitted. The amendments require that a company present separately the items of other comprehensive income that may be reclassified to profit or loss in the future from those that would never be reclassified to profit or loss. The Company intends to adopt the amendments in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of the amendments has not yet been determined.

Employee Benefits

In June 2011, the IASB published an amended version of IAS 19 *Employee Benefits.* Adoption of the amendment is required for annual periods beginning on or after January 1, 2013, with early adoption permitted. The amendment is generally applied retrospectively with certain exceptions. The amendment requires the calculation of expected return on plan assets to be based on the rate used to discount the defined benefit obligation. The amendment also requires other additional disclosures. The Company intends to adopt the amendment in its financial statements for the annual period beginning on January 1, 2013.

The Company estimates the impact of retrospective application to the 2012 comparative annual figures in the 2013 financial statements, relating to the calculation of expected return on plan assets being based on the rate used to discount the defined benefit obligation, will be an increase in pre-tax pension expense between $2.5 million to $3.5 million (between $1.9 million to $2.6 million after-tax). This would be offset by a corresponding decrease in other comprehensive loss. Management is still in the process of assessing the full impact of the above amount and the remaining amendments to this standard.

4. ACCOUNTS RECEIVABLE AND NOTE RECEIVABLE

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to an entity owned by a financial institution. The Company retains servicing responsibilities and retains a very limited recourse obligation for delinquent receivables. At September 30, 2012, trade accounts receivable being serviced under this program amounted to $102.8 million (September 30, 2011: $112.2 million; December 31, 2011: $91.1 million). In return for the sale of its trade receivables, the Company received cash of $51.8 million (September 30, 2011: $42.5 million; December 31, 2011: $45.3 million) and a note receivable in the amount of $51.0 million (September 30, 2011: $69.7 million; December 31, 2011: $45.8 million). The note receivable is non-interest bearing and is due on the settlement dates of the securitized accounts receivable.

The Company previously reported $0.8 million of notes receivable on September 30, 2011, which should have been recorded as accounts receivable in an equivalent amount. These balances have been reclassified in the September 30, 2011 comparative figures. The Company has determined that these amounts were not material to its consolidated financial statements.

Components of accounts receivable are as follows:

	As at September 30, 2012	As at September 30, 2011	As at December 31, 2011
Trade receivables	**$ 29,279**	$ 34,008	$ 40,032
Less: Allowance for doubtful accounts	**(2,502)**	(2,204)	(1,914)
Net trade receivables	**$ 26,777**	$ 31,804	$ 38,118
Other receivables	**12,925**	15,106	18,404
	$ 39,702	$ 46,910	$ 56,522

The aging of trade receivables is as follows:

	As at September 30, 2012	As at September 30, 2011	As at December 31, 2011
Current	**$ 28,472**	$ 32,686	$ 37,790
Past due 0-30 days	**183**	291	1,338
Past due 31-60 days	**63**	224	287
Past due 61-90 days	**216**	181	371
Past due > 90 days	**345**	626	246
	$ 29,279	$ 34,008	$ 40,032

The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individual exposures and a provision based on historical trends of collections.

5. INVENTORIES

	As at September 30, 2012	As at September 30, 2011	As at December 31, 2011
Raw materials	**$ 13,020**	$ 12,842	$ 14,347
Work in process	**89**	29	34
Finished goods	**24,426**	23,794	19,692
Packaging	**8,552**	8,421	9,160
Spare parts	**17,825**	17,635	16,815
	$ 63,912	$ 62,721	$ 60,048

During the three months ended September 30, 2012, inventory in the amount of $227.2 million (2011: $235.7 million) was expensed through cost of goods sold. During the nine months ended September 30, 2012, inventory in the amount of $671.8 million (2011: $665.6 million) was expensed through cost of goods sold.

6. EMPLOYEE BENEFITS

During the three months ended September 30, 2012, the Company recorded $3.3 million (2011: $2.8 million) related to net benefit plan expense including post-retirement benefit costs. For the first nine months of 2012, the Company recorded $9.4 million (2011: $8.6 million) related to net benefit plan expense including post-retirement benefit costs.

7. GOODWILL

Cost	**September 30, 2012**	September 30, 2011
Opening balance	**$ 378,743**	$ 375,894
Foreign currency translation	**(2,306)**	7,989
Balance	**$ 376,437**	$ 383,883
Impairment losses		
Opening balance	**$ (112,730)**	$ (111,618)
Foreign currency translation	**(530)**	(4,001)
Balance	**$ (113,260)**	$ (115,619)
Carrying amounts	**$ 263,177**	$ 268,264

For the purposes of annual impairment testing, goodwill is allocated to the following groups of Cash Generating Units ("CGUs"), being the groups expected to benefit from the synergies of the business combinations in which the goodwill arose:

	As at September 30, 2012	As at September 30, 2011	As at December 31, 2011
CGU Groups			
Canadian fresh bakery	**$ 123,867**	$ 123,867	$ 123,867
North American frozen bakery	**137,285**	142,372	140,121
Fresh pasta	**2,025**	2,025	2,025
	$ 263,177	$ 268,264	$ 266,013

8. INTANGIBLE ASSETS

	As at September 30, 2012	As at September 30, 2011	As at December 31, 2011
Indefinite life	**$ 1,506**	$ 1,312	$ 1,350
Definite life	**10,540**	12,036	11,360
Total intangible assets	**$ 12,046**	$ 13,348	$ 12,710

Indefinite Life Intangibles

The following table summarizes the indefinite life intangible assets by CGU groups:

	As at September 30, 2012	As at September 30, 2011	As at December 31, 2011
CGU Groups			
Canadian fresh bakery	**$ 1,506**	$ 1,312	$ 1,350
North American frozen bakery	**–**	–	–
Fresh pasta	**–**	–	–
	$ 1,506	$ 1,312	$ 1,350

9. PROVISIONS

	Legal	Environ-mental	Lease make-good	Restructuring and other related costs[(i)]	Total
Balance at December 31, 2011[(ii)]	**$ 119**	**$ 1,495**	**$ 3,510**	**$ 22,947**	**$ 28,071**
Charges	**81**	**–**	**–**	**5,884**	**5,965**
Cash payments	**(31)**	**–**	**–**	**(10,234)**	**(10,265)**
Non-cash items	**–**	**–**	**43**	**(4,628)**	**(4,585)**
Balance at March 31, 2012	**$ 169**	**$ 1,495**	**$ 3,553**	**$ 13,969**	**$ 19,186**
Charges	**43**	**–**	**–**	**1,205**	**1,248**
Cash payments	**–**	**–**	**–**	**(3,260)**	**(3,260)**
Non-cash items	**–**	**–**	**–**	**(485)**	**(485)**
Balance at June 30, 2012	**$ 212**	**$ 1,495**	**$ 3,553**	**$ 11,429**	**$ 16,689**
Charges	**100**	**–**	**493**	**170**	**763**
Cash payments	**–**	**–**	**–**	**(1,520)**	**(1,520)**
Non-cash items	**–**	**–**	**–**	**(160)**	**(160)**
Balance at September 30, 2012	**$ 312**	**$ 1,495**	**$ 4,046**	**$ 9,919**	**$ 15,772**
Current					**$ 10,251**
Non-current					**5,521**
Total at September 30, 2012					**$ 15,772**

	Legal	Environ-mental	Lease make-good	Restructuring and other related costs[(i)]	Total
Balance at December 31, 2010	$ –	$ 1,495	$ 4,745	$ 13,068	$ 19,308
Charges	119	–	–	20,050	20,169
Cash payment	–	–	–	(1,664)	(1,664)
Non-cash items	–	–	(5)	(11,138)	(11,143)
Balance at March 31, 2011	$ 119	$ 1,495	$ 4,740	$ 20,316	$ 26,670
Charges	–	–	–	12,547	12,547
Cash payment	–	–	–	(4,733)	(4,733)
Non-cash items	–	–	(13)	(5,245)	(5,258)
Balance at June 30, 2011	$ 119	$ 1,495	$ 4,727	$ 22,885	$ 29,226
Charges	–	–	–	1,598	1,598
Cash payment	–	–	–	(3,519)	(3,519)
Non-cash items	–	–	(903)	(1,847)	(2,750)
Balance at September 30, 2011	$ 119	$ 1,495	$ 3,824	$ 19,117	$ 24,555
Current					$ 19,236
Non-current					5,319
Total at September 30, 2011					$ 24,555

(i) For additional information on restructuring and other related costs, see the table below.
(ii) Balance at December 31, 2011 includes current portion of $23.1 million and non-current portion of $5.0 million.

Restructuring and Other Related Costs

During the nine months ended September 30, 2012, the Company recorded restructuring and other related costs of $7.3 million ($5.7 million after-tax).

During the third quarter of 2012, $0.2 million ($0.1 million after-tax) was recorded, related to ongoing restructuring initiatives including the closure of two distribution centres in Quebec.

During the second quarter of 2012, $1.2 million ($0.9 million after-tax) was recorded, related primarily to the closures of two bakeries in Toronto, Ontario.

During the first quarter of 2012, $5.9 million ($4.6 million after-tax) was recorded. Of this amount, $3.7 million related to accelerated depreciation and other costs in connection with the closure of the Walsall, U.K. bakery. A further $2.0 million related to the closures of two bakeries in Toronto, Ontario and a third in Delta, British Columbia. The balance of restructuring costs was incurred in connection with other ongoing restructuring initiatives.

During the nine months ended September 30, 2011, the Company recorded restructuring and other related costs of $34.2 million ($26.0 million after-tax).

During the third quarter of 2011, $1.6 million ($1.2 million after-tax) was recorded, related primarily to bakery closures and the transfer of production from three Greater Toronto Area bakeries to the new Hamilton bakery.

During the second quarter of 2011, $12.5 million ($9.7 million after-tax) was recorded. Of this amount, $4.6 million in asset write-downs, $3.5 million in lease cancellation costs, and $2.4 million in severance costs related to bakery closures in the U.K. A further $0.8 million related to a transition from company–owned routes to franchisee routes in Atlantic Canada. The balance of restructuring costs was incurred in connection with other ongoing restructuring initiatives.

During the first quarter of 2011, $20.1 million ($15.1 million after-tax) was recorded. Of this amount, $11.2 million in asset write-downs and $2.9 million in severance costs related to bakery closures and the sale of the sandwich product line. A further $5.8 million in severance costs related to organizational changes. The balance of restructuring costs was incurred in connection with other ongoing restructuring initiatives.

The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs as at September 30, 2012 and September 30, 2011, all on a pre-tax basis:

	Severance	Site closing and other cash costs	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at December 31, 2011	**$ 14,975**	**$ 6,776**	**$ –**	**$ 1,196**	**$ –**	**$ 22,947**
Charges	**127**	**1,094**	**4,628**	**35**	**–**	**5,884**
Cash payments	**(8,706)**	**(1,151)**	**–**	**(377)**	**–**	**(10,234)**
Non-cash items	**144**	**(144)**	**(4,628)**	**–**	**–**	**(4,628)**
Balance at March 31, 2012	**$ 6,540**	**$ 6,575**	**$ –**	**$ 854**	**$ –**	**$ 13,969**
Charges	**(419)**	**1,104**	**292**	**35**	**193**	**1,205**
Cash payments	**(2,763)**	**(497)**	**–**	**–**	**–**	**(3,260)**
Non-cash items	**637**	**–**	**(292)**	**(637)**	**(193)**	**(485)**
Balance at June 30, 2012	**$ 3,995**	**$ 7,182**	**$ –**	**$ 252**	**$ –**	**$ 11,429**
Charges	**354**	**(380)**	**77**	**35**	**84**	**170**
Cash payments	**(1,519)**	**(1)**	**–**	**–**	**–**	**(1,520)**
Non-cash items	**–**	**1**	**(77)**	**–**	**(84)**	**(160)**
Balance at September 30, 2012	**$ 2,830**	**$ 6,802**	**$ –**	**$ 287**	**$ –**	**$ 9,919**

	Severance	Site closing and other cash costs	Asset impairment and accelerated depreciation	Retention	Total
Balance at December 31, 2010	$ 11,228	$ 1,456	$ –	$ 384	$ 13,068
Charges	8,701	49	11,138	162	20,050
Cash payments	(1,652)	(12)	–	–	(1,664)
Non-cash items	–	–	(11,138)	–	(11,138)
Balance at March 31, 2011	$ 18,277	$ 1,493	$ –	$ 546	$ 20,316
Charges	3,318	3,582	5,245	402	12,547
Cash payments	(4,004)	(729)	–	–	(4,733)
Non-cash items	–	–	(5,245)	–	(5,245)
Balance at June 30, 2011	$ 17,591	$ 4,346	$ –	$ 948	$ 22,885
Charges	(156)	895	505	354	1,598
Cash payments	(3,360)	–	–	(159)	(3,519)
Non-cash items	–	(1,342)	(505)	–	(1,847)
Balance at September 30, 2011	$ 14,075	$ 3,899	$ –	$ 1,143	$ 19,117

Impairment

During the three months ended September 30, 2012 and 2011, the Company recorded no impairment of fixed assets through restructuring and other related costs.

During the nine months ended September 30, 2012, the Company recorded $0.1 million (2011: $11.7 million) of impairment on fixed assets through restructuring and other related costs.

10. LONG-TERM DEBT

On June 28, 2012, the Company entered into a new five-year $50.0 million revolving credit facility with Maple Leaf. The new credit facility replaced the Company's $250.0 million revolving credit facility that was due to mature on June 30, 2012. The facility will be used to provide longer-term funding and surplus liquidity. The facility can be drawn in Canadian or U.S. dollars and bears interest payable monthly, based on Bankers' Acceptance rates for Canadian dollar loans and LIBOR for U.S. dollar loans. As at September 30, 2012, $1.6 million (September 30, 2011: $2.4 million; December 31, 2011: $2.4 million of the previous facility) of the revolving facility was utilized.

11. CAPITAL AND OTHER COMPONENTS OF EQUITY

Accumulated Other Comprehensive Loss

	Foreign currency translation adjustments	Unrealized gain (loss) on cash flow hedges	Change in actuarial gains and losses	Total accumulated other comprehensive loss
Balance at December 31, 2011	**$ (10,743)**	**$ 528**	**$ –**	**$ (10,215)**
Other comprehensive loss	**(2,298)**	**(700)**	**(1,300)**	**(4,298)**
Transfer to retained earnings	**–**	**–**	**1,300**	**1,300**
Balance at March 31, 2012	**$ (13,041)**	**$ (172)**	**$ –**	**$ (13,213)**
Other comprehensive income (loss)	**2,861**	**278**	**(2,823)**	**316**
Transfer to retained earnings	**–**	**–**	**2,823**	**2,823**
Balance at June 30, 2012	**$ (10,180)**	**$ 106**	**$ –**	**$ (10,074)**
Other comprehensive loss	**(4,836)**	**(228)**	**(4,741)**	**(9,805)**
Transfer to retained earnings	**–**	**–**	**4,741**	**4,741**
Balance at September 30, 2012	**$ (15,016)**	**$ (122)**	**$ –**	**$ (15,138)**

	Foreign currency translation adjustments	Unrealized gain (loss) on cash flow hedges	Change in actuarial gains and losses	Total accumulated other comprehensive loss
Balance at December 31, 2010	$ (14,050)	$ (46)	$ –	$ (14,096)
Other comprehensive loss	(5,490)	(1,105)	–	(6,595)
Balance at March 31, 2011	$ (19,540)	$ (1,151)	$ –	$ (20,691)
Other comprehensive (loss) income	(26)	250	–	224
Balance at June 30, 2011	$ (19,566)	$ (901)	$ –	$ (20,467)
Other comprehensive (loss) income	14,070	1,902	(13,500)	2,472
Transfer to retained earnings	–	–	13,500	13,500
Balance at September 30, 2011	$ (5,496)	$ 1,001	$ –	$ (4,495)

The change in accumulated foreign currency translation adjustments includes income tax of $nil for the three and nine months ended September 30, 2012 (2011: $nil).

The change in unrealized gain (loss) on cash flow hedges includes income tax of $0.1 million for the three months ended September 30, 2012 (2011: $0.7 million). The change in unrealized gain (loss) on cash flow hedges includes income tax of $0.2 million for the nine months ended September 30, 2012 (2011: $0.4 million).

The change in actuarial gains and losses includes income tax of $1.7 million for the three months ended September 30, 2012 (2011: $4.7 million). The change in actuarial gains and losses includes income tax of $3.1 million for the nine months ended September 30, 2012 (2011: $4.7 million).

The Company estimates that $0.1 million of the unrealized loss included in accumulated other comprehensive loss will be reclassified into net earnings within the next 12 months. The actual amount of this reclassification will be impacted by future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the three months ended September 30, 2012, $nil after-tax (2011: $0.3 million) was released to earnings from accumulated other comprehensive loss and is included in the net change for the period. During the nine months ended September 30, 2012, a gain of $0.3 million after-tax (2011: loss of $0.9 million) was released to earnings from accumulated other comprehensive loss and is included in the net change for the period.

12. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

The Company is exposed to credit risk, liquidity risk, foreign exchange risk and commodity price risk. The Company has policies for managing these risks that are aligned with its overall objective to maintain a simple cost-effective capital structure that supports a long-term growth strategy and maximizes operating flexibility. There have been no material changes to the Company's risk and risk management activities since December 31, 2011.

Financial Instruments

The Company's financial assets and liabilities are classified into the following categories:

Cash and cash equivalents	Held-for-trading
Accounts receivable	Loans and receivables
Notes receivable	Loans and receivables
Bank indebtedness	Other financial liabilities
Accounts payable and accrued liabilities	Other financial liabilities
Due to Maple Leaf Foods Inc.	Other financial liabilities
Dividends payable	Other financial liabilities
Long-term debt	Other financial liabilities
Derivative instruments[(i)]	Held-for-trading

(i) These derivative instruments may be designated as cash flow hedges as appropriate.

The Company applies hedge accounting and uses derivatives and other non-derivative financial instruments to manage its exposures to fluctuations in foreign exchange rates and commodity prices.

The fair values and notional amounts of derivative financial instruments at September 30 are shown below:

	2012			2011		
	Notional amount[(i)]	**Fair value Asset**	**Liability**	Notional amount[(i)]	Fair value Asset	Liability
Cash flow hedges						
Foreign exchange forward contracts	**$ 31,430**	**$ –**	**$ 170**	$ 23,382	$ 1,402	$ –
Derivatives not designated in a formal hedging relationship						
Foreign exchange forward contracts[(ii)]	**$ 2,677**	**$ 24**	**$ –**	$ 41,551	$ 43	$ –
Commodity futures contracts	–	–	–	3,878	125	–
Total fair value		**$ 24**	**$ 170**		$ 1,570	$ –
Current		**$ 24**	**$ 170**		$ 1,570	$ –
Non-current		**–**	**–**		–	–
Total fair value		**$ 24**	**$ 170**		$ 1,570	$ –

(i) Notional amounts are stated at the contractual Canadian dollar equivalent.

(ii) At September 30, 2011, related party foreign exchange contracts with Maple Leaf Foods Inc. included a notional amount of $41.6 million with a fair value asset of $nil. There were no related party contracts with Maple Leaf Foods Inc. at September 30, 2012.

The fair value of financial assets classified as loans and receivables and other financial liabilities (excluding long-term debt) approximate their carrying value due to their short-term nature.

The carrying value of long-term debt as at September 30, 2012 was $3.3 million (September 30, 2011: $4.1 million; December 31, 2011: $4.1 million), which approximates the fair value.

Financial assets and liabilities classified as held-for-trading are recorded at fair value. The fair values of the Company's foreign exchange derivative financial instruments were estimated using current market measures for foreign exchange rates. Commodity futures and options contracts are exchange-traded and fair value is determined based on exchange prices.

Derivatives not designated in a formal hedging relationship are classified as held-for-trading. Net gains (losses) on financial instruments held-for-trading consist of realized and unrealized gains (losses) on derivatives that were de-designated or were otherwise not in a formal hedging relationship. During the three months ended September 30, 2012, the Company recorded $nil (2011: after-tax gain of $0.1 million) on financial instruments held-for-trading. During the nine months ended September 30, 2012, the Company recorded an after-tax loss of $0.1 million (2011: after-tax gain of $0.2 million) on financial instruments held-for-trading.

For the three months ended September 30, 2012 and 2011, the amount of hedge ineffectiveness recognized in earnings was not material.

Fair Value Hierarchy

Assets and liabilities carried at fair value must be classified using a three-level hierarchy that reflects the significance and transparency of the inputs used in making the fair value measurements. Each level is based on the following:

- Level 1 – inputs are unadjusted quoted prices of identical instruments in active markets.
- Level 2 – inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly or indirectly.
- Level 3 – one or more significant inputs used in a valuation technique are unobservable in determining fair values of the instruments.

Determination of fair value and the resulting hierarchy requires the use of observable market data whenever available. The classification of a financial instrument in the hierarchy is based upon the lowest level of input that is significant to the measurement of fair value.

The table below sets out fair value measurements of financial instruments using the fair value hierarchy:

	Level 1	Level 2	Level 3	Total
Assets:				
Foreign exchange forward contracts	$ –	$ 24	$ –	**$ 24**
	$ –	**$ 24**	**$ –**	**$ 24**
Liabilities:				
Foreign exchange forward contracts	$ –	$ 170	$ –	**$ 170**
	$ –	**$ 170**	**$ –**	**$ 170**

There were no transfers between levels during the quarter ended September 30, 2012.

13. OTHER (EXPENSE) INCOME

	Three months ended September 30,		Nine months ended September 30,	
	2012	2011	**2012**	2011
Legal settlements	**$ –**	$ –	**$ 1,400**	$ –
Gain (loss) on sale of long-term assets	**11**	(267)	**137**	(268)
Other	**(24)**	553	**(179)**	632
	$ (13)	$ 286	**$ 1,358**	$ 364

14. INTEREST EXPENSE

	Three months ended September 30,		Nine months ended September 30,	
	2012	2011	**2012**	2011
Interest expense on securitized receivables	**$ 245**	$ 157	**$ 729**	$ 736
Deferred finance charges	**59**	58	**175**	169
Interest expense on long-term debt	**16**	9	**70**	128
Other interest charges (income)	**45**	45	**219**	(42)
Interest capitalized	**–**	–	**–**	(119)
	$ 365	$ 269	**$ 1,193**	$ 872

15. RELATED PARTY TRANSACTIONS

Services provided to the Company by Maple Leaf under the terms of a management services agreement include, but are not limited to, treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal, insurance, human resources and computer systems support. In addition, Maple Leaf provides senior management time for operating involvement. Fees paid by the Company for these services are based on the actual cost of providing such services and are allocated based on either activity drivers, or where not practicable to isolate such drivers, the proportion of assets employed to the total assets in the business unit, which is consistent with the allocation of such costs to other business units of Maple Leaf. During the nine months ended September 30, 2012, the Company signed a new management service agreement, with substantially similar terms and conditions.

Fees paid to Maple Leaf in the three months ended September 30, 2012 for these services were $12.2 million (2011: $14.0 million). For the nine months ended September 30, 2012, fees paid to Maple Leaf for these services were $36.9 million (2011: $41.6 million). At September 30, 2012, the total outstanding balance payable to Maple Leaf was $3.6 million (September 30, 2011: $nil; December 31, 2011: $2.5 million).

The Company has a $50.0 million revolving debt facility with Maple Leaf to provide longer-term funding and surplus liquidity.

McCain Capital Corporation ("MCC"), which was a 31.3% shareholder of the Company's parent company until December 2, 2011, owned shares in another Canadian business, McCain Foods Limited. On December 2, 2011, MCC reorganized its shareholdings such that it is no longer a related party of the Company. As a result of this, the Company is no longer a related party with McCain Foods Limited.

Day & Ross Transportation Group, a subsidiary of McCain Foods Limited, was a related party to the Company until December 2, 2011. For the three months ended September 30, 2011, during which Day & Ross Transportation Group was a related party, the Company incurred costs of $0.6 million in respect of transportation services from Day & Ross Transportation Group in the normal course of business at market prices. For the nine months ended September 30, 2011, during which Day & Ross Transportation Group was a related party, the Company incurred costs of $1.7 million in respect of transportation services from Day & Ross Transportation Group in the normal course of business at market prices. Trade payables to Day & Ross Transportation Group as at September 30, 2011 were $0.2 million.

The Company sponsors a number of defined benefit and defined contribution plans. The Company's contributions to these plans were $3.0 million in the three months ended September 30, 2012 (2011: $2.8 million). For the nine months ended September 30, 2012, the Company's contributions to these plans were $8.9 million (2011: $8.6 million).

16. SEGMENTED FINANCIAL INFORMATION

Reportable Segmented Information

The Company has two reportable segments, as described below, which are groupings of the Company's CGUs. These segments offer different products, have separate management structures and have their own marketing strategies and brands. The Company's Management regularly reviews internal reports for these segments. The following describes the operations of each segment:

(a) Fresh Bakery comprises fresh bakery products, sweet goods, specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

Non-allocated assets comprises corporate assets not separately identifiable to business segment groups. These include, but are not limited to, corporate property, plant and equipment, investment properties, and tax balances.

	Three months ended September 30,		Nine months ended September 30,	
	2012	2011	**2012**	2011
Sales				
Fresh Bakery	**$ 277,709**	$ 287,923	**$ 805,056**	$ 825,372
Frozen Bakery	**123,785**	129,248	**371,543**	369,804
	$ 401,494	$ 417,171	**$ 1,176,599**	$ 1,195,176
Earnings before restructuring and other related costs and other income				
Fresh Bakery	**$ 28,765**	$ 29,198	**$ 66,540**	$ 80,394
Frozen Bakery	**5,469**	2,565	**13,884**	3,196
	$ 34,234	$ 31,763	**$ 80,424**	$ 83,590
Capital expenditures				
Fresh Bakery	**$ 6,821**	$ 19,362	**$ 24,553**	$ 74,995
Frozen Bakery	**3,326**	5,725	**7,627**	13,720
	$ 10,147	$ 25,087	**$ 32,180**	$ 88,715
Depreciation and amortization				
Fresh Bakery	**$ 7,918**	$ 6,376	**$ 22,622**	$ 19,445
Frozen Bakery	**4,664**	5,056	**13,900**	15,601
	$ 12,582	$ 11,432	**$ 36,522**	$ 35,046

	As at September 30, 2012	As at September 30, 2011	As at December 31, 2011
Total assets			
Fresh Bakery	**$ 507,476**	$ 516,798	$ 516,485
Frozen Bakery	**350,922**	383,728	368,534
Non-allocated assets	**106,614**	70,105	79,456
	$ 965,012	$ 970,631	$ 964,475
Goodwill			
Fresh Bakery	**$ 125,892**	$ 125,892	$ 125,892
Frozen Bakery	**137,285**	142,372	140,121
	$ 263,177	$ 268,264	$ 266,013

Information about Geographic Areas

Property, equipment and investment property located outside of Canada was $96.3 million (September 30, 2011: $112.4 million; December 31, 2011: $105.7 million). Of this amount, $59.2 million (September 30, 2011: $67.6 million; December 31, 2011: $65.0 million) was located in the U.S. and $37.1 million (September 30, 2011: $44.8 million; December 31, 2011: $40.7 million) was located in the U.K.

Goodwill attributed to operations located outside of Canada was $83.8 million (September 30, 2011: $88.9 million; December 31, 2011: $86.7 million), which is all attributed to operations in the U.S.

Revenues earned outside of Canada for the three months ended September 30, 2012 were $86.7 million (2011: $90.9 million). Of this amount, $56.4 million (2011: $52.2 million) was earned in the U.S. and $29.3 million (2011: $37.2 million) was earned in the U.K. Revenue by geographic area is determined based on the shipping location.

Revenues earned outside of Canada for the nine months ended September 30, 2012 were $269.8 million (2011: $276.2 million). Of this amount, $172.5 million (2011: $157.5 million) was earned in the U.S. and $93.4 million (2011: $113.9 million) was earned in the U.K. Revenue by geographic area is determined based on the shipping location.

Information about Major Customers

During the three months ended September 30, 2012, the Company reported sales to two customers, each representing greater than 10% of total sales. Sales to one customer represented 18.8% (2011: 18.7%) of total sales, while sales to the second customer represented 12.1% (2011: 12.5%) of total sales. These revenues were reported in both the Fresh Bakery and Frozen Bakery segments. No other sales were made to any one customer that represented in excess of 10% of total sales.

During the nine months ended September 30, 2012, the Company reported sales to two customers, each representing greater than 10% of total sales. Sales to one customer represented 18.5% (2011: 18.3%) of total sales, while sales to the second customer represented 12.2% (2011: 12.4%) of total sales. These revenues were reported in both the Fresh Bakery and Frozen Bakery segments. No other sales were made to any one customer that represented in excess of 10% of total sales.



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